

ADT Inc. (NYSE: ADT) - Illustrative Take-Private LBO

Illustrative analysis built from ADT's 10-K, 10-Q and 8-K filings and market data as of Sep 8, 2026.

Transaction overview		Returns (active scenario)	
Offer price per share (\$)	\$9.75	Scenario	Base
Premium to current price	35.0%	Exit year	5
Equity purchase price (\$mm)	7,395	Exit EV / EBITDA	4.77x
Entry enterprise value (\$mm)	14,809	Exit enterprise value (\$mm)	14,166
Entry EV / LTM Adj. EBITDA	5.51x	Sponsor MOIC (net)	1.26x
Current trading EV / LTM Adj. EBITDA	4.77x	Sponsor IRR (net)	4.7%
Total debt / LTM Adj. EBITDA	4.00x	Model checks	All pass
Sponsor equity (\$mm)	4,577		
Equity % of total sources	29.8%		
LTM revenue (\$mm)	5,165		
LTM Adjusted EBITDA (\$mm)	2,690		

Scenario comparison						
Scenario	Revenue growth	Margin chg / yr	Capex % rev	Exit EV/EBITDA	Net IRR	Net MOIC
Base	2.0%	0.00%	22.0%	4.77x	4.7%	1.26x
Downside	0.0%	(0.20%)	23.5%	4.27x	(13.5%)	0.48x
Upside	5.0%	0.40%	21.0%	5.77x	22.5%	2.75x
Management case	3.0%	0.20%	22.0%	5.51x	14.7%	1.99x

Drivers link to the Assumptions tab; exit multiples and returns come from the scenario data table on the Sensitivities tab, at the hold period set in Assumptions.

Key takeaways

1. Entry: a 35% premium (\$9.75/share) is 5.5x LTM Adj. EBITDA against 4.8x where ADT trades. At 4.0x leverage the sponsor writes a \$4.6bn equity check (30% of sources).
2. Base case (2026 guidance: ~2% growth, flat margin, exit at the unaffected multiple): 4.7% net IRR / 1.26x. A 35% take-private does not earn a typical LBO return on guidance-level fundamentals.
3. The exit multiple is the largest swing factor: if the premium were retained at exit the same operating case returns 11.2%, and the management case (3% growth, +20bp/yr, entry-multiple exit) returns 14.7%.
4. Cash flow is thin against the debt load: EBITDA less capex and net subscriber costs covers net interest only 1.7x at the weakest point, and debt falls \$1.9bn over five years (net debt/EBITDA 2.8x at exit).
5. Downside (0% growth, margin erosion, higher capex, lower exit multiple) returns -13.5% / 0.48x, a loss of more than half the equity: a stress case, not a forecast.

